

FMP · MODULE 4 · BREAKAWAY

ACTIVITY 1 · FUNDAMENTALS OF EQUITY · 60 MIN

Breakaway Assignment.

Everything your group needs for **Activity 1 — Fundamentals of Equity**. Section A is the **discussion** (advantages of raising capital, the optimal capital structure, debt vs equity, and a spokesperson's response). Section B gives the model answers to the workbook questions you were sent to discuss — **Question 1** and **Question 4**.

Section A · Discussion

Parts 1–4 + spokesperson response

Section B · Q1

Equity fundamentals & capital structure · [15]

Section B · Q4

Debt versus Equity · [10]

SECTION A · THE ACTIVITY, IN ONE LINE

In your breakaway room, reach a shared view on the three themes below, then have a spokesperson present a collaborative answer. The anchor concept for all three is the same:

Capital structure is the mix of **debt and equity** a firm uses to fund its operations and finance its assets. Because each source has different costs and consequences, managers must **trade them off** to find the **optimal capital structure** — the mix that creates the most value for shareholders.

What "raising capital" means

A company funds itself in two external ways: **borrow** it (debt) or **sell ownership** (equity). "Raising capital" is bringing in that outside funding to grow and operate.

How to run the discussion

- Cover each theme in turn (Parts 1–3).
- Agree the strongest 2–3 points per theme.
- Have your spokesperson present **Part 4**.

FRAME TO REMEMBER Raising capital is the *goal*; debt and equity are the two *tools*; the optimal capital structure is the *best balance* of those tools for a given company.

PART 1 · THE ADVANTAGES OF RAISING CAPITAL

Raising outside capital lets a company do more than its own retained profits would allow. The advantages fall into two groups — the **general** benefits of bringing in capital, and the benefits specific to raising **equity** capital.

General advantages of raising capital

- **Funds growth & expansion** — new markets, extra capacity, acquisitions.
- **Funds research & development** and innovation that profits alone couldn't cover.
- **Improves liquidity and working capital** — money to run day-to-day operations.
- **Speeds up strategy** — you don't have to wait years to self-fund from earnings.
- **Distributes risk** — the cost and risk of projects are shared with funders/investors.

Specific advantages of raising equity capital

- **No repayment obligation** — equity is **permanent capital**; no principal to repay and no fixed interest burden.
- **Lower financial risk** — without fixed debt repayments, the company is less exposed in a downturn.
- **Strengthens the balance sheet** — lower gearing makes the firm more resilient and more creditworthy for future borrowing.
- **Aligns owners and managers** and brings in investors who **share the risk and the upside**.
- **Profile & access** — issuing (especially listing) raises the firm's profile and opens a **wider investor base**.
- **No collateral required** — unlike most debt, equity doesn't need assets pledged as security.

PART 2 · THE OPTIMAL CAPITAL STRUCTURE

Optimal capital structure is the **mixture of debt and equity that minimises the firm's overall cost of capital (WACC) and so maximises firm value and shareholder wealth.**

It exists because debt and equity pull in opposite directions, and the "best" mix is the balance point between them:

Why some debt **adds** value

- Debt is usually **cheaper** than equity.
- Interest is **tax-deductible** — the "**tax shield**" lowers WACC.
- It **doesn't dilute** ownership or control.

Why too much debt **destroys** value

- Fixed repayments raise **financial risk**.
- Rising risk of **financial distress / bankruptcy**.
- Lenders demand higher rates → cost of capital climbs again.

THE BALANCE POINT The optimal structure is where the **marginal tax-shield benefit of one more rand of debt just equals the marginal cost of the extra financial-distress risk** — the point of **lowest WACC** and highest firm value.

What shifts a firm's optimal mix

Business risk (volatile earnings → less debt) · **tax position** (more tax → debt more valuable) · **asset tangibility** (more collateral → more debt capacity) · **growth stage** (early/growth firms lean to equity) · **interest rates** · **financial flexibility** and management's risk appetite.

PART 3 · DEBT VERSUS EQUITY

FEATURE	DEBT	EQUITY
Nature	A loan — borrowing.	Ownership — a share of the company.
Repayment	Must be repaid (principal + interest).	No repayment obligation; permanent.
Cost to firm	Interest — fixed & tax-deductible .	Dividends (not obligatory, not deductible) + price growth.
Control	No dilution; lenders don't vote .	Dilutes ownership; shareholders vote.
Risk to firm	Higher — fixed obligations, default risk.	Lower — flexible, no fixed payments.
Claim priority	Senior — paid first on liquidation.	Residual — paid last.
Security	Often secured by collateral.	Unsecured.

Lean to **debt** when...

- Cash flows are **stable & predictable**.
- You want to **keep control** (no dilution).
- You can use the **tax shield** and rates are low.
- You have **collateral** to pledge.

Lean to **equity** when...

- Business risk is **high** / cash flows uncertain.
- You're a **growth or early-stage** firm.
- You want **financial flexibility** (no fixed payments).
- You want to **strengthen the balance sheet**.

PART 4 · THE SPOKESPERSON'S COLLABORATIVE RESPONSE

A tight, presentable summary your spokesperson can deliver — one paragraph per theme.

On the advantages of raising capital

"Raising capital lets a firm grow faster than its own profits would allow — funding expansion, R&D and working capital while sharing risk. **Equity** capital is especially valuable because it's **permanent and carries no repayment obligation**, it lowers financial risk, strengthens the balance sheet, and — if listed — brings profile and a wider investor base."

On the optimal capital structure

"The optimal capital structure is the **mixture of debt and equity that minimises the cost of capital and maximises firm value**. Some debt helps because it's cheaper and tax-deductible, but too much raises the risk of financial distress. The optimum is the balance point — the lowest-WACC mix — and it differs by company depending on risk, tax, assets and growth stage."

On debt versus equity

"It's a trade-off. **Debt** is cheaper and keeps control, but must be repaid and increases risk. **Equity** is more expensive and dilutes ownership, but is flexible and has no repayment obligation. The right choice is **firm-specific** — driven by cash-flow stability, business risk, tax position and growth stage."

IF THE LECTURER PUSHES BACK The single sentence that ties it together: **"Raising capital is the goal; debt and equity are the two tools; the optimal capital structure is the best balance of those tools for a given firm."**

SECTION B · QUESTION 1 — EQUITY FUNDAMENTALS & CAPITAL STRUCTURE [15]

1.1 What are the main advantages of raising equity capital for a company?

(3)

- **No repayment obligation** — equity is permanent capital with no fixed interest burden, so it doesn't strain cash flow.
- **Lower financial risk & a stronger balance sheet** — less gearing makes the firm more resilient and more creditworthy for future borrowing.
- **Shares risk and widens access** — investors share the risk; issuing (especially listing) raises profile and opens a wider investor base, with no collateral required.

1.2 What factors influence the optimal capital structure of a company?

(3)

- **Business risk** — volatile earnings call for less debt (lower financial risk).
- **Tax position** — interest is tax-deductible, so the debt "tax shield" makes debt more attractive to a tax-paying firm.
- **Asset tangibility, growth stage, interest rates & financial flexibility** — more collateral and stable, mature operations support more debt; growth firms and high rates favour equity.

1.3 What is the purpose of equity in the capital markets?

(3)

- **Capital raising** — channels savings into companies to fund expansion, R&D and operations.
- **Ownership & participation** — lets individuals and institutions own a stake and share in growth, with price discovery in the market.
- **Risk distribution** — spreads risk across many investors, supporting liquidity and market stability.

1.4 What is the role of equity in a company's capital structure?

(3)

- **Permanent, risk-absorbing capital** — equity is the cushion that bears the first losses, with no obligation to repay.
- **Funds assets & balances debt** — it finances operations and is balanced against debt to reach the optimal capital structure.
- **Confers ownership & supports borrowing** — gives owners control and a residual claim, and a solid equity base underpins the ability to raise further debt.

1.5 How does the Debt-to-Equity (D/E) ratio help in assessing a company's financial risk?

(3)

- **It measures leverage** — $D/E = \text{total debt} \div \text{total equity}$, showing reliance on borrowing versus owners' funds.
- **Higher D/E = higher financial risk** — more fixed obligations mean greater exposure to default and earnings volatility in a downturn.
- **It enables comparison** — analysts compare gearing across firms and judge debt-servicing ability; a very low D/E may signal an under-used tax shield.

SECTION B · QUESTION 4 — DEBT VERSUS EQUITY [10]

4.1 What is the primary difference between debt and equity securities in terms of obligations and ownership?

(2)

- **Debt** = borrowing → a contractual obligation to repay principal + interest; the holder is a **lender**, not an owner.
- **Equity** = ownership → **no** repayment obligation; the holder is an **owner** with a residual claim.

4.2 How do the investment objectives of equity investors differ from those of debt investors? (2)

- **Equity investors** seek **capital growth + dividends** and accept higher risk for higher potential return (plus ownership/voting).
- **Debt investors** seek **stable, predictable income (interest) and capital preservation**, accepting lower returns for lower risk and a priority claim.

4.3 What are the characteristics of preference shares compared to ordinary shares? (2)

- **Preference shares:** a **fixed** dividend, paid **before** ordinary dividends and ranking ahead on liquidation, usually with **little or no voting** → lower risk.
- **Ordinary shares:** a **variable** dividend (not guaranteed), a **residual** claim (paid last), and **voting rights** → higher risk and higher potential return.

4.4 Why are equity investors considered owners of a company, and how does this impact their claims on company assets? (2)

- They hold a **share of ownership**, so they are **residual claimants** with a stake in profits and assets.
- This means they rank **last** on liquidation — paid only after creditors and preference shareholders — bearing the most risk but with unlimited upside.

4.5 What is the main advantage for a company in issuing equity securities instead of debt securities? (2)

- **No repayment obligation and no fixed interest** — equity is permanent capital, so it lowers financial risk and strengthens the balance sheet (unlike debt, which must be serviced and repaid).

TIE-TOGETHER Raising capital is the goal; **debt and equity are the two tools**; the **optimal capital structure** is the best balance of those tools for a given firm — equity's edge being permanent, obligation-free capital, debt's edge being its lower, tax-deductible cost.